RETIREMENT PORTFOLIO | SENIOR ANALYST REPORT

Portfolio review and capital-allocation roadmap

A household-level assessment of the latest holdings, recent changes, concentration risk, and the path toward retirement in approximately ten years.

CONSTRUCTIVE | REBALANCE, DO NOT OVERHAUL

Prepared for James Wilbur
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As of July 18, 2026
Based on the supplied retirement-portfolio workbook.

01 | EXECUTIVE VIEW

The portfolio is stronger after the recent moves, but the diversification work is only beginning.

Selling CVS, initiating GEV at a deliberately small weight, and adding VXUS, AVUV, PEP and MSFT all move the portfolio in the right direction. The remaining issue is scale: international and small-value exposure are still too small to offset a 74.5% direct-stock sleeve and a 25.5% direct financials concentration.

PORTFOLIO VALUE	DIRECT STOCKS	FUNDS / ETFS	CASH
$1,607,375	**74.5%**	**22.3%**	**3.2%**
39 positions including cash	Primary alpha and drawdown source	Includes 10.1% target-date fund	$52,000 of dry powder

Senior analyst conclusion

Maintain the growth posture, but reduce concentration risk at the margin. The expected pension near $70,000 a year, retiree medical coverage, long runway and significant home equity justify more equity risk than a typical 58-year-old retiree. They do not justify allowing one sector or a few appreciated positions to dominate the outcome.

What improved

Business quality and balance improved: CVS was removed; PEP and MSFT add durable cash flows; AVUV and VXUS introduce differentiated return drivers; GEV was sized as an option, not a core holding.

What still needs work

Direct financials are 25.5%, four single stocks sit near or above 7%, and dedicated VXUS plus AVUV are only 1.9% combined. Several U.S. small/mid-cap funds overlap.

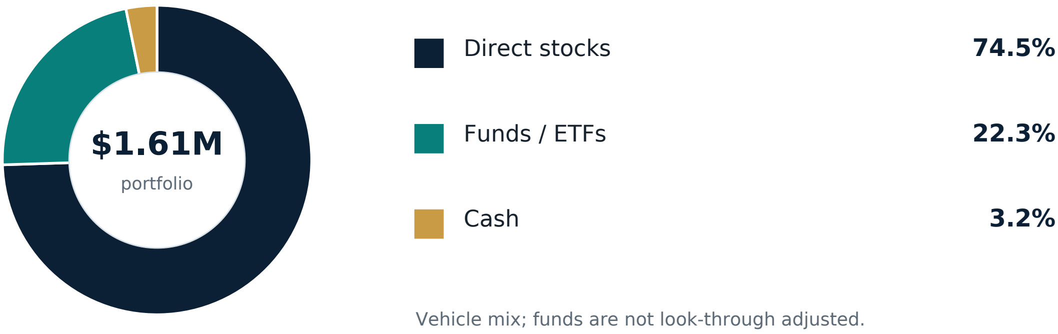
Recommended posture

Trim valuation/concentration risk first, preserve high-conviction quality, and move direct stocks toward 65%-70% while diversified funds rise toward 27%-32%.

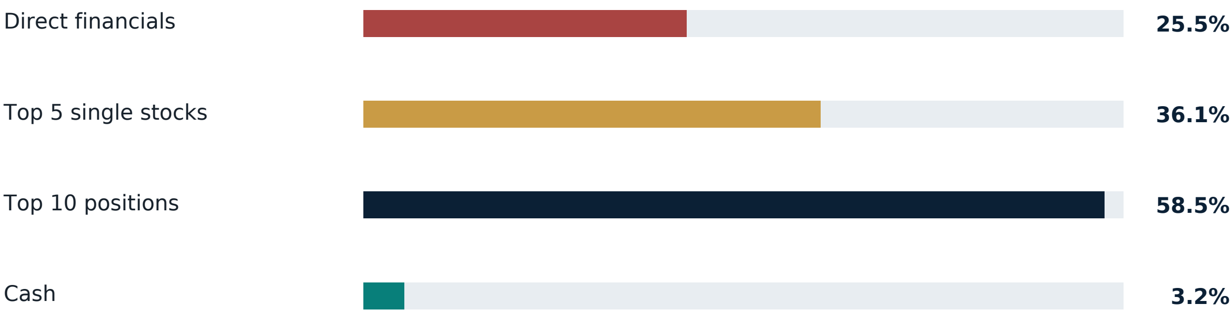
02 | PORTFOLIO STRUCTURE

A concentrated stock portfolio wrapped around a diversified-fund core.

This is not an index portfolio with a few satellites. It is a direct-stock portfolio with index and factor sleeves. That can work for a disciplined, high-conviction investor, but it requires explicit position and sector limits.



Vehicle mix; funds are not look-through adjusted.



Largest positions

#	Holding	Market value	Weight
1	**TLXIX** Nuveen Lifecycle Index 2045 Fund R6 Class	$161,636	10.06%
2	**AMZN** Amazon.com Inc	$128,596	8.00%
3	**GS** The Goldman Sachs Group Inc	$122,733	7.64%
4	**JPM** JPMorgan Chase & Co	$122,181	7.60%
5	**AAPL** Apple Inc	$113,193	7.04%
6	**MA** Mastercard Inc Class A	$93,688	5.83%
7	**XOM** ExxonMobil Holdings Corp	$55,554	3.46%
8	**Cash** Default Cash	$52,000	3.24%
9	**GOOG** Alphabet Inc Class C	$48,229	3.00%
10	**AVGO** Broadcom Inc	$42,611	2.65%

Position weights are from the supplied workbook. Fund holdings are not look-through adjusted, so effective exposure to Microsoft, Apple, Amazon and other mega-caps is higher than the direct weights shown.

02 | PORTFOLIO STRUCTURE - CONTINUED

Direct-stock sector exposure

Direct-stock sector	Market value	Portfolio weight	Share of direct stocks
Financials	$409,884	25.5%	34.2%
Information Technology	$228,389	14.2%	19.1%
Communication Services	$142,280	8.9%	11.9%
Consumer Discretionary	$128,596	8.0%	10.7%
Consumer Staples	$78,969	4.9%	6.6%
Real Estate	$68,500	4.3%	5.7%
Energy	$55,554	3.5%	4.6%
Health Care	$41,020	2.6%	3.4%
Utilities	$36,023	2.2%	3.0%
Industrials	$8,407	0.5%	0.7%

Primary portfolio-level risk
Direct financials equal 25.5% before counting financial exposure inside TLXIX, AVUV, VFFSX, DVY and other funds. AVUV itself held 28.6% in financials at June 30, 2026, so it diversifies by size and factor - but not fully by sector.

03 | DIVERSIFICATION DIAGNOSIS

The new sleeves are directionally correct; they are not yet economically meaningful.

The target should not be textbook diversification for its own sake. It should be enough non-U.S., small-value and liquid ballast to keep a U.S. mega-cap or financial-led drawdown from dictating the retirement outcome.

Sleeve / constraint	Current	Working band	Assessment
Dedicated international (VXUS)	1.0%	4%-6%	Build in tranches
Small-cap value (AVUV)	0.9%	2%-3%	Build in tranches
Total dedicated small/mid funds	6.8%	8%-10%	Close, but overlapping
Direct financials	25.5%	20%-23%	Above band
Cash	3.2%	2%-4%	In band

Why VXUS belongs
Vanguard reports broad developed- and emerging-market exposure across roughly 8,755 stocks at a 0.05% expense ratio as of June 30, 2026. Its benchmark covers about 98% of non-U.S. markets.

Why AVUV belongs
AVUV is a deliberate small-cap value and profitability tilt, not simply another Russell 2000 fund. It held 792 securities and targets lower valuations plus higher profitability; expense ratio was 0.25% as of June 30, 2026.

Overlap and simplification priorities

Sleeve	Current holdings	Issue	Recommendation
Small cap	FSSNX, VTWO, AVUV, VXF	Broad Russell-style exposure is duplicated; tiny VXF adds little.	Direct new contributions to AVUV; keep one broad small-cap core.
Mid cap	FSMDX, IJH	Substantial overlap in purpose.	Select one long-term mid-cap core when account and tax constraints allow.
Dividend	DVY, SCHD	Two funds serve similar roles.	Prefer one ongoing contribution vehicle; SCHD fits the quality/dividend-growth philosophy.
Thematic	GRID, SOXQ	Combined weight is immaterial.	Define a 0.5%-1.0% satellite thesis or simplify.
Target date	TLXIX	2045 is nine years later than planned retirement.	Keep if it is the global core/glide-path ballast; define its role explicitly.

04 | REVIEW OF RECENT MOVES

Most moves improved portfolio quality; sizing now matters more than selection.

Move	Assessment	What it accomplished	Next action
Sold CVS	Favorable	Removed an execution-heavy, regulation-sensitive healthcare thesis.	Do not replace mechanically. Direct healthcare is now only 2.6% (BMY + UNH).
GEV | 0.5%	Right size	Adds electrification and power demand exposure while containing valuation and event risk.	No pre-earnings add. Keep near 0.5% through July 22; do not exceed 1% until orders, margins, FCF and wind-loss trajectory validate the thesis.
VXUS | 1.0%	Correct, small	Introduces non-U.S. currency, valuation and industry exposure.	Build toward 4%-6% dedicated; highest-priority destination for incremental capital.
AVUV | 0.9%	Correct, small	Adds small-cap value and profitability exposure unlike the mega-cap core.	Build toward 2%-3%; stop adding indiscriminately to FSSNX and VTWO.
PEP | 1.3%	Favorable	Improves defensive earnings quality and dividend resilience.	A 1.5%-2.0% end-state is sensible; add only on valuation.
MSFT | 2.4%	Quality upgrade	Raises exposure to a wide-moat, recurring-revenue compounder.	Hold and add selectively after diversification targets advance; look-through exposure is higher.

Net assessment
The portfolio is moving from many individual ideas toward a more coherent structure: concentrated wide-moat compounders, a defensive/income sleeve, and index/factor diversification. The next phase should be consolidation and sizing - not another round of adding names.

05 | RISK AND VALUATION DISCIPLINE

Concentration - not total equity exposure - is the most fixable risk today.

A high equity allocation is reasonable with a ten-year runway and pension support. The avoidable risk is that a financials or U.S. mega-cap shock hits several large positions at once.

Illustrative stress tests

Scenario	Assumptions	Est. loss	Impact	Ending value
Broad equity bear	Direct stocks -28%; funds/ETFs -22%; cash flat	-$414,040	-25.8%	$1,193,335
Financial-led recession	Direct financials -35%; other stocks -18%; funds -15%	-$338,915	-21.1%	$1,268,460
Mega-cap / AI de-rating	IT + communication + AMZN -30%; other stocks -12%; funds -14%	-$283,668	-17.6%	$1,323,707

Illustrative factor shocks, not forecasts. Fund exposures are modeled at the vehicle level, and correlations can rise during real stress.

Position-level valuation and sizing flags

Position	Weight	Workbook signal	Portfolio action
GS	7.6%	2-star; price/fair value 1.58x	Trim to 5%-6%. Clearest source of valuation and concentration funding.
JPM	7.6%	3-star; 1.08x	Hold, no add. Consider later trim to 6%-6.5% if direct financials remain high.
AAPL	7.0%	2-star; 1.15x	Hold, no add. Review above 8% look-through.
AMZN	8.0%	4-star; 0.89x	Core hold, but already at the single-name ceiling.
VTR	1.8%	No moat; 1.07x	Exit or reduce below 1%. AMT is the higher-conviction REIT.
MSFT / AVGO / META / GOOG	10.5%	Favorable valuation signals	Hold. Do not let single-name valuations interrupt the diversification plan.
CRM / DIS	2.2%	Small; discounted	Keep only with active theses; consolidate if neither can earn a 2%-3% target.

06 | RECOMMENDED ACTION PLAN

Use existing cash and two lower-conviction trims to fund diversification.

The portfolio does not need a dramatic reset. A roughly 5% reallocation would materially improve construction without disturbing the strongest long-term holdings.

Illustrative source	Approx. capital
Trim GS from 7.6% to 5.5%	$34,327
Exit VTR	$29,386
Use cash above the post-trade reserve	$16,287
Total redeployed	$80,000

Destination	Add	Pro forma weight
VXUS in 3-4 tranches	$60,000	4.7%
AVUV in 2-3 tranches	$20,000	2.2%
Direct stocks	-	70.5%
Funds / ETFs	-	27.2%
Cash	-	2.2%

Implementation caveat
This blueprint is account-agnostic. The workbook does not map taxable versus retirement accounts. Execute gains-heavy trims inside tax-deferred accounts where possible; if GS or VTR are taxable, compare the tax cost with the concentration benefit before acting.

Phased implementation

Timing	Action
Now	Freeze additions to AMZN, GS, JPM, AAPL and MA until diversification bands improve. Hold GEV through July 22 without adding.
0-3 months	Reallocate approximately 5%: trim GS, exit/reduce VTR, and add VXUS/AVUV in tranches. Keep cash at 2%-4%.
3-12 months	Simplify overlapping funds. Choose one broad small-cap core, one mid-cap core and one dividend contribution vehicle.
Annual	Review any single stock above 6%; cap near 8%. Review direct sectors above 23%-25%. Rebalance before adding new names.

07 | RETIREMENT ARCHITECTURE

Pension and retiree medical are strategic assets - but the portfolio still needs a glide path.

Why current risk is defensible	Why de-risking cannot wait
Pension: expected income near $70,000 reduces the portfolio-funded spending gap and behaves economically like a bond-like income floor, though it is not liquid and its COLA/survivor terms matter. **Retiree medical:** reduces a major pre-Medicare uncertainty. **Home equity:** creates optionality for late-life spending and contingencies. **Ten-year runway:** supports meaningful equity exposure.	The pension may cover much - but not necessarily all - core spending. The portfolio must fund the gap, taxes, travel, large purchases and inflation. The right reserve is 18-24 months of the portfolio-funded spending gap, not two years of total spending. Begin formal glide-path work around 2031-2033, five to seven years before retirement, rather than making a one-time shift at age 58.

Illustrative household compounding capacity

Uses the attached portfolio plus the previously discussed approximate $200,000 in your wife's 403(b), with no additional contributions. Excludes Social Security, home equity, taxes, fees and pension asset value.

10-year nominal return	Financial assets at retirement	3.5% first-year draw	Plus $70,000 pension
4% annualized	$2,675,357	$93,637	$163,637
6% annualized	$3,236,734	$113,286	$183,286
8% annualized	$3,901,987	$136,570	$206,570

Illustrative planning math only; not a return forecast or withdrawal guarantee. Contributions would increase the results. Taxes, inflation, pension elections, COLA provisions and medical premiums can materially reduce spendable income.

Retirement glide-path checkpoints

Period	Portfolio objective	Decision rule
2026-2030	Maintain growth, improve diversification, reduce overlap.	Direct stocks 65%-70%; diversified funds 27%-32%; cash 2%-4%; no single stock above about 8%.
2031-2033	Quantify spending gap, pension election, COLA/survivor terms and medical premiums.	Build high-quality short-duration/fixed-income assets based on the spending gap, not age alone.
2034-2036	Protect first years of withdrawals from forced equity sales.	Hold 18-24 months of expected portfolio-funded spending in cash/short-duration reserves.
At separation	Coordinate account access and rollover decisions.	The age-55 separation exception can apply to qualified-plan distributions, but generally not IRAs. Confirm plan rules before rolling the current 401(k) to an IRA.

08 | MONITORING FRAMEWORK

A concentrated portfolio needs written rules before the market tests them.

Trigger	Required review	Default response
Single stock above 8%	Re-underwrite valuation, downside and fund overlap.	Trim unless thesis and valuation support an explicit exception.
Direct sector above 23%-25%	Measure look-through exposure and stress loss.	Stop additions; redirect contributions; trim the lowest expected-return holding.
VXUS below 4% after 12 months	Check whether U.S. performance chasing interrupted the plan.	Schedule tranches until the floor is reached.
AVUV above 3%-4%	Review tracking error, volatility and small-cap overlap.	Pause additions and rebalance to the factor budget.
GEV above 1% before confirmation	Review orders, margins, FCF and Wind losses.	Do not average up solely on momentum.
Retirement within five years	Update spending gap, pension, retiree medical and Rule-of-55 access.	Shift from age-based allocation to liability-based reserve planning.

Final verdict

The portfolio remains appropriate for your stated high risk tolerance and ten-year horizon, especially given the pension and retiree medical. I would approve the recent moves. I would not approve continued additions to the largest U.S. holdings until VXUS and AVUV are scaled, GS is reduced, and VTR's role is resolved. The best improvement now is construction, not stock picking.

09 | SOURCES, METHODOLOGY AND LIMITATIONS

Research documentation

1. Supplied portfolio workbook. retirement-portfolio-7.xlsx. Used for quantities, market values, allocation, cost basis, Morningstar ratings/fair values and moat fields.

2. Vanguard. Open source. Vanguard Total International Stock ETF fact sheet, as of June 30, 2026.

3. Avantis Investors. Open source. Avantis U.S. Small Cap Value ETF fact sheet, as of June 30, 2026.

4. Nuveen. Open source. Nuveen Lifecycle Index 2045 Fund overview, accessed July 18, 2026.

5. GE Vernova. Open source. Q2 2026 earnings announcement; results scheduled before market open July 22, 2026.

6. Internal Revenue Service. Open source. Exceptions to tax on early distributions, updated December 11, 2025.

7. Investor.gov. Open source. Sequence-of-returns-risk glossary, accessed July 18, 2026.

Methodology

Vehicle allocation and direct-stock sector weights are calculated from workbook market values. Funds are classified by primary role; no complete look-through was performed. The pro forma reallocation holds total value constant and ignores taxes, transaction costs and market movement. Stress tests apply transparent shocks to broad sleeves and are illustrative only.

Key limitations

The workbook does not identify taxable, 401(k), IRA or other account locations; it does not provide household spending, annual contributions, Social Security estimates, pension COLA/survivor elections, retiree-medical premium sharing or account-level withdrawal rules. Those inputs are required for a full retirement-income plan and tax-aware trade list.

Important
This report is analytical and educational, not individualized fiduciary, tax or legal advice. Market prices, fund holdings and valuation estimates change. Confirm tax consequences, plan rules and suitability with qualified professionals before implementing trades or rollover decisions.